I.A. No. 454/2018
I.A. Diary No. 490/19
in
C.P (CAA) No. 60/BB/2017

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

I.A. No. 454/2018
I.A. Diary No. 490/19
IA. 110/19 in
C.P (CAA) No. 60/BB/2017

IN THE MATTER OF COMPOSITE SCHEME OF ARRANGEMENT
AMONG
LIFETREE CYBERWORKS PRIVATE LIMITED
(First Transferor Company)
AND
TECNOTREE CONVERGENCE PRIVATE LIMITED
(Second Transferor Company)
AND
TECNOTREE INDIA PRIVATE LIMITED
(Resulting Company)
AND THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Lifetree Cyberworks Services Private Limited
No. 65/2, B-Block, 1st Floor, Level 03,
Bagamane Tribid, Bagamane Tech Park,
C.V. Raman Nagar, Bangalore-560093 ...**First Transferor Company**

Tecnotree Convergence Private Limited
No. 65/2, B-Block, 1st Floor, Level 03,
Bagamane Tribid, Bagamane Tech Park,
C.V. Raman Nagar, Bangalore-560093

...**Second Transferor Company(Applicant)**

Tecnotree India Private Limited
No. 65/2, B-Block, 1st Floor, Level 03,
Bagamane Tribid, Bagamane Tech Park,

I.A. No. 454/2018
I.A. Diary No. 490/19
in
C.P (CAA) No. 60/BB/2017

C.V. Raman Nagar, Bangalore-560093 ...**Resulting Company**

Date of Order: 8th March, 2019

Parties Present: Shri Sharan Kukreja and Shri Siddarth Tiwary
Learned Counsels for the Petitioners

O R D E R

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)**

1) Dy No. 490 for I.A. in C.P (CAA) No. 60/BB/2017 is filed by Tecnotree Convergence Private Limited (Second Transferor Company) under Section 420(2) of Companies Act, 2013 read with Rule 11 of the NCLT Rules, 2016, by inter-alia seeking that the Tribunal to modify/amend paragraph(l) appearing at page 28 of the final order of the Tribunal dated November 29, 2018 so as to remove the requirement to deposit Rs. 13,65,35,000/- and pass such other orders this Tribunal deems fit, in the interest of justice and equity. The interlocutory application was not numbered, as the Registry had raised objections dated 24th December, 2018 regarding the maintainability of the application and pursuant to the learned counsel's request the application was listed with Diary No. 490/19 on IA as assigned at the time of filing.
2) I.A No. 454/2018 in C.P (CAA) No. 60/BB/2017 is filed by Tecnotree Convergence Private Limited (Second Transferor Company) under Rule 11 of the NCLT Rules, 2016, by inter-alia seeking the Tribunal to extend time of thirty days to file the order of confirmation of the scheme with Registrar of Companies, Karnataka under Rule 11, NCLT Rules, 2016, as application in Dairy No. 490 in IA is pending before the Tribunal for consideration.

3) Heard Shri Sharan Kukreja and Shri Siddarth Tiwary, Learned Counsels for Applicant. We have considered the pleadings of the parties and also perused the extant provisions of the Companies Act, 2013, Companies (Compromises, Arrangement & Amalgamation) Rules, 2016, National Company Law Tribunal Rules, 2016 and applicable law.

4) The learned Counsel has filed the interlocutory application bearing Dy No. 490/19 dated 21/12/2018 by inter-alia stating as follows:

   a) On November 10, 2017, a response was issued by the Deputy Commissioner of Income Tax, Circle 7(1)(1) to the notice of this Tribunal dated October 18, 2017 stating that the demands made on the Second Transferor Company for the assessment years 2012-13, 2013-14 and 2014-15 are still due from the Second Transferor Company. In response thereof, an affidavit dated January 4, 2018 was filed by the Second Transferor Company wherein it had clearly stated that demands made by the income tax authorities have been challenged by the Second Transferor Company. It was stated therein that Appeal No. CIT(A).Benagluru-7/10112/2016-17 was pending for the assessment year 2012-13, ITA 1616/BANG/2017 was pending for the assessment year 2013-14 and Appeal No. CIT(A), Bengaluru-7/10179/2016-17 was pending for the assessment year 2014-15. Nonetheless it was undertaken that the Second Transferor Company and/or the Resultant Company would continue to be liable to satisfy the demands even after the scheme was sanctioned by the Tribunal.

   b) The Tribunal was pleased to sanctioned the scheme vide its order dated November 29, 2018. The Tribunal at paragraph(l) at page 28 of the order directed that the sanctioning of the scheme is subject to the Second Transferor Company depositing a sum of Rs. 1365.25 lakh before the Deputy Commissioner of Income Tax.

c) The Hon'ble Income Tax Appellate Tribunal video order dated June 27, 2018 in IT(TP)A No. 1616/Bang/2017 partly allowed the appeal filed in relation to Assessment Year 2013-14 by the Second Transferor Company in respect of the issue of Tax Deduction at Source (TDS) and transfer pricing. The Hon'ble ITAT held that TDS was not required to be deducted. Further, the issue of transfer pricing has been remanded to the Deputy Commissioner of Income Tax (Transfer Pricing) for fresh consideration by the Hon'ble ITAT. Since, the issues involved and the facts and circumstances for the Assessment Year 2012-13 and 2014-15 are similar to the Assessment Year 2013-14, similar orders are expected from the Hon'ble ITAT as the same are covered by the order of the Hon'ble ITAT dated June 27, 2018. In view of the favorable order dated June 27, 2018, there is no question of payment for the assessment year 2013-14, and similar cases are pending as aforementioned. The Deputy Commissioner Income Tax in its letter dated November 9, 2017 sought for the deposit of these amounts. Such a direction to deposit the amount is an error apparent on the face of record.

d) Such a condition would cause hurdles in complying with the hurdles of this Tribunal in order to give effect to the Scheme and adversely effect the business and investment in the Petitioner Companies who are not in a position to deposit a huge sum of Rs. 13,65,35,000/-. On the other hand no prejudice will be caused to anyone if the condition is removed and order is modified, especially in light of the undertaking of both the Second Transferor Company and the Resultant Company to pay dues as and when applicable.

e) The learned Counsels relied on the following decisions in furtherance of the arguments:

i. Hon'ble NCLAT judgement in People's General Hospital v. Alliance Industries, Company Appeal (AT) No. 105 of 2018, August 8, 2018

ii. Hon'ble NCLAT order in Inder Chand Pincha v. Borgang Tea Co. (P) Ltd., & Ors, Company Appeal (AT) 154 of 2018 on May 11, 2018

iii. Assistant Commissioner, Income Tax, Rajkot v. Suarashtra Kutch Stock Exchange Limited on September 15, 2018, reported in (2008) 14 SCC 171

iv. Honda Siel Power Products Limited v. Commissioner of Income Tax, Delhi on November 26, 2007, reported in (2007) 12 SCC 596.

v. Express Newspapers Limited v. Deputy Commissioner of Income Tax and Anr. on November 17, 2009, reported in (2010) 228 CTR 405

vi. In Re: Ludhiana Holdings Limited, March 28, 2014, reported in (2014) 186 Comp Cas 565.

vii. Hon'ble NCLT, Principal Bench, New Delhi order in Hike Messenger Limited with Hike Private Limited, CAA-254/PB/2017 on June 13, 2018

f) Therefore, the learned Senior Counsel urged the Tribunal to allow the Application as prayed for in the interest of justice and equity.

5) The learned Counsel has filed I.A. No. 454/18 dated 21/12/2018 by inter-alia stating as follows:

a. Second Transferor Company has filed a separate application (i.e., Dy No 490/19 on I.A.) seeking amendment/modification of the order dated November 29, 2018 to modify paragraph (l) at page 28. The

said application is pending for consideration before this Hon'ble Tribunal and order has not been filed with the Registrar of Companies since the condition at paragraph(l) is completely onerous.

b. Therefore, the Applicants pray for an extension of time to file a copy of the order before the Registrar of Companies by a period of 30 (thirty) days from the date the application for modification is decided by this Tribunal.

6) Now questions to be considered in Diary No. 490/19 in I.A. are whether the provisions as relied upon by the party empowers the Tribunal allow the application as prayed for, and secondly, if there is an error apparent the face of record. We may first refer Section 420 of the Act and Rule 154, NCLT Rule, 2016 which read as follows:

"Section 420. Orders of Tribunal

(1) The Tribunal may, after giving the parties to any proceeding before it, a reasonable opportunity of being heard, pass such orders thereon as it thinks fit.

(2) The Tribunal may, at any time within two years from the date of the order, with a view to rectifying any mistake apparent from the record, amend any order passed by it, and shall make such amendment, if the mistake is brought to its notice by the parties: **Provided** that no such amendment shall be made in respect of any order against which an appeal has been preferred under this Act.

(3) The Tribunal shall send a copy of every order passed under this section to all the parties concerned."

" **Rule 154. Rectification of Order**

(1) Any clerical or arithmetical mistakes in any order of the Tribunal or error therein arising from any accidental slip or

omission may at any time, be corrected by the Tribunal on its own motion or on application of any party by way of rectification,

(2) An application under sub-Rule(1) may be made in Form No NCLT. 9 within two years from the date of the final order for rectification of the final order not being an interlocutory order."

7) On conjunct reading of above provisions of law, we are of the view that the review powers of the Tribunal to amend its own order is limited to rectify any mistake apparent from the record, under Section 420 of the Act, whereas under Rule 154 of NCLT Rules, the Tribunal has power to rectify an order, if any clerical or arithmetical mistake, in any order of the Tribunal or error therein arising from any accidental slip or omission occurs.

8) In the instant application Diary no. 490/19 on IA, the contention of the Applicant is that para 'l' in page 28 of the operative portion of the order dated 29.11.2018, be modified as it is onerous and lacks jurisdiction. It appears that the modification/amendment is not sought due to presence of any mistake apparent on the face of record or any clerical error, but questions the rationale of the order delivered.

9) As per law, a Court/Tribunal is entitled to take a view in accordance with law and pass appropriate orders. And those orders are binding on the parties subject to any variation by higher judicial Forms. It is not in dispute that Tribunal is not empowered to review its own orders. By perusal of pleadings of the Applicant, as briefly stated supra, indicate that the Applicant wants the Tribunal to review its order, but not due to any clerical error or any apparent mistake. Further, we are of the view that decisions relied upon by the Petitioners are not applicable to the present case. Therefore, we are of the considered view that the Applicant in Diary No. 490/19 is not entitled for the relief as prayed for.

10) In light of the foregoing, by exercising the powers conferred on this Tribunal, under Section 420 of the Companies Act, 2013 read with Rule 154 of NCLT Rules, 2016, I.A. Diary No. 490/19 and I.A No. 454/2018 in CP (CAA) No. 60/BB/2017 are disposed of with the following directions:

i. Relief sought with regard to correction of Para 'I' of the operative portion at page 28 of order dated 29.11.2018 in C.P (CAA) No. 60/BB/2017 passed by this Tribunal, is hereby rejected.

ii. The Petitioner Companies are permitted to file the certified copy of order dated 29.11.2018 along with this order with the Registrar of Companies, Karnataka within 30 days from the date of receipt of copy of this order and the Registrar of Companies, Karnataka is hereby directed to condone any delay, that has arisen under Companies Act, 2013 and Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

iii. The order dated 29.11.2018 in CP (CAA) 60/BB/2017 remains the same, save as above.

iv. The Registry is directed to number the I.A. instead of Diary No. 490/19 for statistical purpose.

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL